DOLLAR TREE INC DLTR

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by SamPR

			2026	2027
Price:	125.00	EPS	0	0
Shares Out. (in M):	192	P/E	0	0
Market Cap (in $M):	24,000	P/FCF	0	0
Net Debt (in $M):	6,600	EBIT	0	0
TEV (in $M):	30,600	TEV/EBIT	0	0

Description

Dollar Tree good, Family Dollar bad. I'm long Dollar Tree in the wake of the Family Dollar divestment (not investment advice, do your own research).

Key parts of this writeup:

1. Company history: Dollar Tree was a great business
2. Acquisition history suggests now is the time to invest
3. Margin opportunity is significant
4. Valuation is attractive
5. Buybacks signal management confidence

Company history: Dollar Tree was a great business

Eleven years ago, prior to Dollar Tree's acquisition of Family Dollar, the stock was at $80, over 20x earnings. Dollar Tree was boring, predictable, moated, and very profitable: they consistently grew revenue by ~10% driven equally by comps and store growth. Each year, they operated the same model but a little bit better, their buyers travelling the world's factories to find the best possible $1 deals for their customers. ROE was terrific at 45%. P/E was >20x.

Their model includes many ingredients used by the world's best retailers like Costco, Trader Joes, and Aldi:

- Low SKU (more efficient to manage inventory and increases bargaining power with suppliers)
- High turnover of SKUs (treasure hunt for consumers, increases bargaining power with suppliers)
- Merchandising-driven organization: buyers travel the world looking for deals
- Great value for customers; high sales-per-square foot and strong comps for many years
- Although a Dollar Store, Dollar Tree appeals to middle-income and middle-upper income shoppers, as well as the low-income segment. VIC readers can prove this to themselves by visiting Dollar Tree and Family Dollar in the same day. I wager the vast majority will prefer Dollar Tree.

Acquisition history suggests now is the time to invest

DLTR's acquisition of FDO in 2015 must have been exciting for this high-performing but boring company. It was also predictably risky (maybe even stupid):

- FDO was a completely different business (more like a discount convenience store); multi-price, less treasure-hunty, more consumable, more for low-income shoppers
- FDO had terrible culture and was getting beaten badly by DG
- Mergers of equals, especially when the businesses are quite different, do not have a high success rate

The consequence is a weak decade for DLTR's stock price, appreciating just 50% in 11 years. Dollar Tree management did not turn around Family Dollar, and Dollar Tree banner comps decelerated from MSD prior to the acquisition to ~2%. It's likely that management's attention to Family Dollar reduced organizational effectiveness in operating the Dollar Tree business. Dollar Tree cycled through five CEOs between 2017 and 2024 in an effort to fix Family Dollar. Obviously this is not good for an organization.

Today, after the 2025 sale of Family Dollar, Dollar Tree has significant opportunities to refocus on their core. Consider this quote from March's Q4 earnings call: “Dollar Tree today is simpler, more focused, and structurally stronger than it was a year ago.”

Dollar Tree’s management is working to optimize all aspects of its business, including merchandising, inventory management, SG&A control, and store operations. The new multi-price point model is still very new, only fully rolled out in 1/3rd of stores. This model offers an additional degree of freedom to provide great value with the treasure hunt feel. (By the way, this is the type of strategic innovation/change that makes sense for a company, rather than the overly-transformative acquisition of FDO).

Consider the CEO Mike Creedon in the Q1 call: the quarter “builds upon the strength of the prior quarter” and validates the company’s strategic plan, which includes expanding its multi-price assortment, improving store standards, managing costs more aggressively and investing in marketing. These are very basic functions of a retailer that have likely been neglected during a decade of wrestling with Family Dollar.

Margin opportunity:

2026 guidance suggests ~0.6% EBIT margin expansion to 9.1%. EBIT margin averaged ~10% in the ten years running up to the FDO acquisition and ~12% in the five years running up to the acquisition. Their multi-price point strategy should make margins easier to attain vs. history. Consequently, 10.0% EBIT margin seems within reach within a couple of years, with upside to 11% over the next five years.

Valuation is attractive

Consider investing in DLTR today vs. in 2014:

	2014 DLTR	2026 DLTR
P/E	>20x	14x
Same-store sales	4-5%	~4%
New-store growth	4-5%	3-4%
EBIT growth potential	Peak margins	1-3% growth potential
Relative valuation	Other stocks were fairly cheap	Stocks are very expensive; WMT, COST, KR all trade at much higher multiples

My price target for January 2028 is $185 based on 20x 2028 EPS of $9.25.

$9.25 in CY 2028 earnings is based on:

- Start at 2026 midpoint guidance ($20.6B in sales 9.1% EBIT margin)
- HSD revenue growth for the next two years; EBIT margin expansion to 10%
- DLTR repurchases 8% of the float over the next two years. This is conservative given $1.5B in share repurchases in 2025 alone

Buybacks suggest management confidence:

Buybacks:

- 2025 $1,500m
- Q1 $600m
- May $100m
- June $500m
- New $2,500B authorization announced in July

I would be happy with $1,000 - $1,500 in annual buybacks, which would combine with ~6% revenue growth to drive ~11% EPS growth (not including nearterm margin expansion). This is a sustainable medium-term earnings-growth algorithm.

The recent pace of buybacks has been even better, signaling management confidence. Additionally, the buybacks suggest that the board has understood the capital allocation decisions, and will focus on cash return going forward rather than follish acquisitions.

Key risk is that Dollar Tree may not be what it used to be:

- Management is completely new since 2014; management may not be able to execute the old Dollar Tree strategy
- Dollar Tree operates in a new retail environment, including multi-channel retailing (online); Dollar Tree may have underinvested in technology

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Catalyst

Earnings. Also, investor memory is short and the FDO mistake currently weighs heavily. I predict Dollar Tree's multiple will drift upward.

Messages

No messages